The virtue of simplicity

When state capacity is high, a government can embark on more complex plans. When state capacity is low, the only things that will work correctly are simple plans.

This was a major theme in the evolution of tax policy in India in recent decades. Reduce the number of rates, reduce exemptions, reduce complexity—these were the themes around which major progress was made. [2]

As an example, consider the prospect of a subsidy, implemented through the tax system, for things that involve positive externalities. In theory, this can be a good thing. There *is* market failure when there are positive externalities, and there *is* a case for a subsidy, and sometimes that subsidy can be delivered through the tax system.

Suppose highway construction is to be financed by tax-exempt bonds. The policy analysis of tax-exempt bonds is, however, a very complicated affair. When we confront a positive externality, and think of a public subsidy, we must have numerical estimates of how large the externality is, which guides the design of the subsidy. Giving an entity or a class of entities the ability to issue tax-exempt bonds constitutes a certain magnitude of subsidy, which may or may not be commensurate with the magnitude of the positive externality.

Once the precedent is set, that highway developers are able to issue tax-exempt bonds, there will be a clamour for other kinds of tax-exempt bonds. Should this be given to airports also? What about irrigation? Is the positive externality associated with all kinds of infrastructure the same? Why stop at infrastructure? What about a firm that gives loans to poor people? Why not have tax-exempt bonds for hospitals?

Under conditions of low state capacity, the only safe place to be is to have no tax-exempt bonds. If a subsidy has to be paid, it is best to do this through the expenditure programmes of government, where there will be better scrutiny of the relative magnitudes of expenditures.